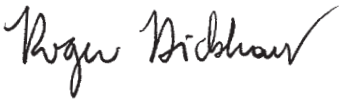
Management's Statement of Responsibility

Management recognizes its responsibility for conducting the Company's affairs in the best interests of all its shareholders. The consolidated financial statements and related information in the annual report are the responsibility of management. The consolidated financial statements have been prepared in accordance with generally accepted accounting principles which involve the use of judgement and estimates in applying the accounting principles selected. Other financial information in the annual report is consistent with that in the consolidated financial statements.

The Company maintains systems of internal controls which are designed to provide reasonable assurance that accounting records are reliable and to safeguard the Company's assets. The Company's independent auditors, KPMG LLP, Chartered Accountants, have audited and reported on the Company's consolidated financial statements. Their opinion is based upon audits conducted by them in accordance with generally accepted auditing standards to obtain reasonable assurance that the consolidated financial statements are free of material misstatement.

The Audit Committee of the Board of Directors, all of whom are independent of the Company or any of its affiliates, meets periodically, with the independent external auditors, the internal auditors and management representatives to review the internal accounting controls, the consolidated quarterly and annual financial statements and other financial reporting matters. Both the internal and independent external auditors have unrestricted access to the Audit Committee. The Audit Committee reports its findings and makes recommendations to the Board of Directors.



R.M. Dickhout (signed)

President and Chief Executive Officer



M.H. Vels (signed)

Chief Financial Officer

Auditors' Report

To the Shareholders of Canada Bread Company, Limited

We have audited the consolidated balance sheets of Canada Bread Company, Limited as at December 31, 1999 and December 31, 1998 and the consolidated statements of earnings, retained earnings and cash flows for the years then ended. These financial statements are the responsibility of the Company's management. Our responsibility is to express an opinion on these financial statements based on our audits.

We conducted our audits in accordance with Canadian generally accepted auditing standards. Those standards require that we plan and perform an audit to obtain reasonable assurance whether the financial statements are free of material misstatement. An audit includes examining, on a test basis, evidence supporting the amounts and disclosures in the financial statements. An audit also includes assessing the accounting principles used and significant estimates made by management, as well as evaluating the overall financial statement presentation.

In our opinion, these consolidated financial statements present fairly, in all material respects, the financial position of the Company as at December 31, 1999 and December 31, 1998 and the results of its operations and its cash flows for the years then ended in accordance with Canadian generally accepted accounting principles.



KPMG LLP (signed), Chartered Accountants

Toronto, Canada,

February 4, 2000.

Consolidated Balance Sheet

(thousands of Canadian dollars) As at	**December 31, 1999**	**December 31, 1998**
Assets		**Restated** (note 14)
Current Assets:		
Accounts receivable (note 3)	**$ 25,324**	$ 27,029
Due from related company (note 13)	**4,290**	3,330
Inventories	**17,898**	13,599
Prepaid expenses	**1,945**	3,334
Income taxes receivable	**—**	3,874
	49,457	51,166
Investment in associated company	**46,128**	45,768
Property and equipment (note 5)	**166,290**	160,773
Goodwill	**77,490**	80,565
	$ 339,365	$ 338,272
Liabilities and Shareholders' Equity		
Current Liabilities:		
Bank indebtedness (note 6)	**$ 1,436**	$ 2,121
Accounts payable and accrued charges	**64,394**	54,047
Dividends payable	**1,285**	1,285
Income taxes payable	**2,707**	—
Current portion of long-term debt (note 6)	**106**	76
	69,928	57,529
Long term debt (note 6)	**14,772**	26,874
Deferred income taxes	**23,505**	23,765
Minority interest	**—**	106
Shareholders' equity (note 8)	**231,160**	229,998
	$ 339,365	$ 338,272

See accompanying notes to consolidated financial statements

On behalf of the Board:

Roger M. Dickhout (signed), Director John L. Bragg (signed), Director

Consolidated Statements of Earnings

(thousands of Canadian dollars, except per share amounts) Years ended	December 31, 1999	December 31, 1998
Sales	$ 567,251	$ 508,445
Earnings from operations, before unusual items	20,210	19,392
Unusual items (note 4)	(8,350)	(14,401)
Earnings from operations	11,860	4,991
Other income (note 10)	1,370	2,568
Earnings before interest and taxes	13,230	7,559
Interest expense (note 6)	2,174	2,181
Earnings before income taxes	11,056	5,378
Income taxes (note 11)	4,754	2,472
Earnings before minority interest	6,302	2,906
Minority interest	—	(10)
Net earnings	$ 6,302	$ 2,896
Earnings per share (note 9)	$ 0.29	$ 0.14

See accompanying notes to consolidated financial statements

Consolidated Statements of Retained Earnings

(thousands of Canadian dollars) Years ended	December 31, 1999	December 31, 1998
		Restated
Retained earnings, beginning of year (note 14)	$ 193,033	$ 195,275
Net earnings	6,302	2,896
Dividends declared	5,140	5,138
Retained earnings, end of year	$ 194,195	$ 193,033

See accompanying notes to consolidated financial statements

Consolidated Statements of Cash Flows

(thousands of Canadian dollars) Years ended	December 31, 1999	December 31, 1998
Operating Activities		
Net earnings for the year	**$ 6,302**	$ 2,896
Add (deduct) items not affecting cash:		
Depreciation	**17,026**	14,773
Amortization	**3,075**	2,800
Undistributed earnings of an associated company	**(360)**	(645)
Deferred income taxes	**2,663**	4,554
Minority interest	**—**	10
Non-cash amounts included in unusual items	**5,428**	4,495
Changes in non-cash working capital	**5,122**	4,048
Cash provided from operating activities	**39,256**	32,931
Financing Activities		
Dividends	**(5,140)**	(5,137)
Repayment of long-term debt (note 6)	**(12,072)**	(4,140)
Issue of share capital (note 9)	**—**	370
Cash provided from (used in) financing activities	**(17,212)**	(8,907)
Investing Activities		
Additions to property and equipment	**(21,359)**	(14,376)
Purchase of net assets of business (note 12)	**—**	(6,188)
Cash used in investing activities	**(21,359)**	(20,564)
Net increase in cash during the year	**685**	3,460
Bank indebtedness beginning of year	**(2,121)**	(5,581)
Bank indebtedness end of year	**$ (1,436)**	$ (2,121)
Supplementary Information		
Interest paid	**2,178**	2,599
Taxes paid	**—**	10,526

See accompanying notes to consolidated financial statements

1. The Company

Canada Bread Company, Limited ("Canada Bread" or the "Company") and all of its subsidiaries operate in the bakery industry. Its principal business comprises the manufacture and sale of a variety of bakery and pasta products including fresh bread and rolls, bagels and par-baked bread. Canada Bread is 68% owned by Maple Leaf Foods Inc. ("Maple Leaf").

2. Significant Accounting Policies

The following are the significant accounting policies of the Company:

The preparation of periodic financial statements necessarily involves the use of estimates and approximations. Should the underlying assumptions change, the actual amounts could differ from those estimated.

a) Principles of consolidation

The accompanying consolidated financial statements include the accounts of Canada Bread and its subsidiaries.

The Company owns a 25% interest in Multi-Marques Inc. of Quebec which is accounted for using the equity method.

b) Inventories

Inventories, consisting primarily of ingredients and supplies, are valued at the lower of cost and replacement cost, as determined using the first-in, first-out method.

c) Property and equipment

Property and equipment are recorded at cost including, where applicable, interest capitalized during the construction or development period. Depreciation is calculated using the straight-line basis at the following rates which are based on the expected useful life of the asset:

Buildings	2½% – 5%
Machinery and equipment	7½% – 33⅓%
Leasehold improvements	over the term of the lease

d) Goodwill

The excess of the purchase price over the estimated fair value of identifiable net assets acquired represents goodwill. Goodwill is amortized substantially over forty years on a straight-line basis. The Company annually reviews the carrying value of goodwill to determine if an impairment has occurred. The Company measures the potential impairment of goodwill by comparing the undiscounted value of expected future operating income before income taxes, interest and amortization of goodwill to the carrying value of goodwill. Any permanent impairment in the value of goodwill is written off against earnings.

e) Translation of foreign currencies

Monetary assets and liabilities denominated in foreign currencies are translated at year-end exchange rates. Exchange gains and losses are recognized in current earnings.

f) Pension costs and obligations

The Company and its subsidiaries maintain defined benefit pension plans which provide retirement benefits for the employees. The market value of pension assets is determined using a five-year moving average basis. Pension obligations are determined by the Company's actuaries, using the accrued actuarial method and based on management's best estimate assumptions. Changes in the net value of pension assets or obligations arising from experience gains or losses, changes in assumptions and plan amendments and the net pension asset not previously recognized at the date the policy was implemented are amortized on a straight-line basis over the expected average remaining service life of the employee groups covered by the plans.

g) Change in accounting policies

Effective January 1, 1999 the Company has adopted the new accounting requirements of the Canadian Institute of Chartered Accountants ("CICA") for Cash Flow Statements. Under these new requirements, the Consolidated Statements of Cash Flows provides information with respect to changes in cash and cash equivalents and classifies cash flows during the period arising from operating, financing and investing activities and excludes non-cash transactions which were previously included in the Statement of Changes in Financial Position. Cash and cash equivalents are defined as cash, short-term securities with maturities of less than 90 days, less bank indebtedness.

The Company has also changed the method of accounting for post-retirement benefits other than pensions from a cash basis to an accrual basis. (See note 14.)

h) Financial instruments

The Company enters into hedging arrangements to manage its exposure to currency, commodity price and interest rate fluctuations. The gains and losses on these hedging instruments are recognized in the consolidated financial statements in the same period and are matched with the same financial statement category as the income or expense item to which the hedged position relates. Any accrued amounts receivable and payable under the terms of such contracts are included in accounts receivable and accounts payable, respectively.

i) Comparative figures

Certain comparative figures have been reclassified to conform with the financial statement presentation adopted in the current year.

3. Accounts Receivable

Under a revolving securitization program the Company has sold, with limited recourse, certain of its trade accounts receivable to a bank. At December 31, 1999, trade accounts receivable amounting to $20 million (1998 – $10 million) had been sold under this program.

4. Unusual Items

The Company recorded a charge of $8.4 million ($5.4 million, net of tax) to cover costs related to further centralization and streamlining of administrative and operating processes. A charge of $14.4 million ($9.4 million, net of tax) was recorded in 1998 for the costs associated with writing down the carrying value of several operations designated for closure and assets identified as non-core and the costs of a restructuring program.

5. Property and Equipment

	1999	1998
Cost		
Land	$ 13,198	$ 13,198
Buildings	50,272	46,439
Machinery and equipment	197,384	176,156
Construction in progress	13,511	16,868
	274,365	252,661
Accumulated depreciation		
Buildings	14,288	12,570
Machinery and equipment	93,787	79,318
	108,075	91,888
Net book value	$ 166,290	$ 160,773

6. Financing

Bank indebtedness

The Company has demand operating facilities of $37 million for short term borrowing requirements which bear interest at short term rates. Drawings under these facilities were $1.4 million at December 31, 1999 (1998 – $2.1 million). Net interest expensed on short-term debt and accounts receivable securitization during the year was $0.9 million (1998 – $0.3 million).

Long term debt

The Company has two 364-day revolving committed facilities with Canadian chartered banks, each for $20 million. Of these facilities, $20 million is available through September 2003 and is extended annually at the lender's option. The second $20 million facility will mature in December 2001. These facilities bear interest based on Banker's Acceptance rates for Canadian dollar loans and LIBOR for US dollar loans.

	1999	1998
Revolving term facility	$ 14,500	$ 26,600
Obligations under capital leases and other long-term debt	378	350
	14,878	26,950
Less current portion	106	76
	$ 14,772	$ 26,874

Interest on long-term debt expensed during the year was $1.3 million (1998 – $1.9 million).

7. Financial Instruments

In the ordinary course of business, the Company enters into derivative financial instruments to reduce underlying cash flow risks associated with foreign currency and interest rates. The Company does not use derivative financial instruments for trading or speculative purposes.

Foreign currency risk management

The Company uses forward contracts to manage its cash flow exposure to sales or purchases denominated in foreign currencies, primarily U.S. dollars.

At December 31, 1999 the Company had outstanding commitments to sell forward US$7.2 million (1998 – US$10.2 million) to Maple Leaf. The Company has designated these contracts as a hedge of export sales in future fiscal periods as follows:

2000	US$3.0 million
2001	US$3.0 million
2002	US$1.2 million

Based on the exchange rate at December 31, 1999, the Company would have incurred a loss of $0.2 million to settle these contracts (1998 – loss of $1.1 million).

Interest rate risk management

The Company uses interest rate conversion agreements ("swaps") to manage its exposure to interest rate fluctuations associated with the Company's debt balance. At December 31, 1999 the Company had one swap contract, with a notional amount of $24 million and a maturity date of June 10, 2008, in place with Maple Leaf. Under this swap contract, the Company pays 5.64% and receives the 90-day Banker's Acceptance rate on the notional amount.

The Company's blended average cost of borrowing for the year ended December 31, 1999 was 5.5% (1998 – 5.5%) after including the payments made under swap contracts in place in 1999.

Based on the market value of the swap contract at December 31, 1999, the Company would have realized a gain of $1.6 million to terminate the contract (1998 – loss of $0.6 million). The market value of the swap contract was determined by obtaining a quote from a bank for a similar financial instrument.

8. Shareholders' Equity

	1999	1998 Restated (note 14)
Share capital	$ 36,965	$ 36,965
Retained earnings	194,195	193,033
	$ 231,160	$ 229,998

9. Share Capital

Details of share transactions during the year are as follows:

	Unlimited Common Shares Shares	Amount
Balance December 28, 1997	21,392,812	$ 36,595
1998 transactions:		
Issued for cash on exercise of options	24,000	370
Balance December 31, 1998 and December 31, 1999	21,416,812	$ 36,965

The Board of Directors have approved the issue of stock options to certain members of the Company's management. Up to 940,000 shares may be issued under this plan. To date 637,000 options have been granted, all of which have been exercised or canceled. Options to purchase 303,000 shares remain available to be granted in the future.

Certain employees and officers of the Company participate in the Maple Leaf stock option plan. No costs are charged to the Company for participation in this plan.

10. Other Income

	1999	1998
Earnings from an associated company	$ 1,423	$ 2,398
Gain on sale of property and equipment	46	82
Other	(99)	88
	$ 1,370	$ 2,568

11. Income Taxes

A reconciliation comparing income taxes (on earnings before income taxes excluding equity earnings from an associated company) calculated at the statutory rates to the amount provided in the accompanying consolidated financial statements is as follows:

	1999			1998		
	Total	Special Charge (note 4)	Excluding Special Charge	Total	Special Charge (note 4)	Excluding Special Charge
Combined statutory rates	$ 4,960	$ (3,746)	$ 8,706	$ 2,412	$ (6,460)	$ 8,872
Increase (decrease) from:						
M & P credit	(857)	647	(1,504)	(387)	1,036	(1,423)
Non taxable (gains) losses	(295)		(295)	(133)	40	(173)
Non-deductible goodwill amortization	1,139		1,139	1,344	352	992
Equity in earnings of associated companies	(566)		(566)	(954)		(954)
LCT	205		205	378		378
Other	168	177	(9)	(188)	54	(242)
Total income taxes	$ 4,754	$ (2,922)	$ 7,676	$ 2,472	$ (4,978)	$ 7,450
Represented by:						
Current income taxes			$ 3,361		$ (2,516)	$ 2,896
Deferred income taxes		(2,922)	4,315		(2,462)	4,554
		$ (2,922)	$ 7,676		$ (4,978)	$ 7,450

12. Acquisitions

On November 7, 1998, the Company acquired the shares of Hamilton Baking Company (1998) Limited of Hamilton, Ontario.

Acquisitions are accounted for by the purchase method with the results of operations being consolidated with those of the Company from the date of acquisition.

Details of the net assets acquired at assigned values are as follows:

	1998
Net working capital	$ (127)
Property and equipment	957
Goodwill	4,767
	5,597
Long term debt assumed	(21)
Deferred tax	612
Total consideration	$ 6,188

13. Related Party Transactions

a) A significant portion of the Company's sales to the U.S. and other export markets are through related companies during the normal course of operations and have been recorded at market amounts.

b) Maple Leaf provides the Company with certain management services including treasury, taxation, internal audit, accounting and access to bulk purchasing programs. Pursuant to a Management and Affiliation Agreement entered into in August 1995, the Company paid a management and affiliation fee of $3.2 million (1998 – $3.4 million) to Maple Leaf which approximates the cost of providing these services.

c) The Company entered into a Management Services Agreement with Maple Leaf Foods USA Inc. (Maple Leaf USA), whereby Maple Leaf USA administered and supervised the management of the Company's U.S. operations commencing January 1996. The cost of providing this service was included in the management and affiliation fee. Both agreements were approved by the independent members of the Board of Directors. Under this arrangement, sales of product in the U.S. that is manufactured in the Company's facilities are managed by Maple Leaf USA. The sales value and profitability related to these sales are recorded in the Company's financial statements.

d) The Company receives certain information system services from Maple Leaf and is charged for direct costs incurred.

14. Pension

The approximate present value of accrued pension benefits at December 31, 1999 was $50.5 million (1998 – $50.3 million). The net assets of these pension plans, at market related values, were approximately $66.1 million (1998 – $62.3 million).

The Company also provides certain post retirement benefits other than pensions to retirees. Effective January 1, 1999 the Company elected to retroactively change the method used to account for post retirement benefits other than pensions from a cash basis to an accrual basis. Opening retained earnings as at January 1, 1998 has been reduced by $0.5 million; a liability of $0.9 million has been recorded and related deferred income taxes have been recorded for $0.4 million.

15. Commitments and Contingencies

The Company has operating lease commitments in respect of property and equipment used in operations which require minimum annual payments as follows:

2000	$ 10,155
2001	8,794
2002	6,867
2003	5,858
2004	4,636
Thereafter	2,170
	$ 38,480

In the normal course of business, the Company enters into sales commitments with various customers, and purchase commitments with various suppliers. These commitments are for varying terms, and can provide for fixed or variable prices. The Company believes these contracts serve to reduce risk, and it is not anticipated that losses will be incurred on these contracts.